

Investment Memo: 2051 E Maple Ave, El Segundo

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Recommendation

Pass at the \$10.8M asking price. Bid no more than about \$8.2M at \$2.00/SF renovated rents, or up to about \$9.5M only if rents can reach \$2.30/SF.

At asking, the renovated building yields 5.19% on cost, below both the 6.00% exit cap and the 6.25% loan rate. The renovation does not create value, and leverage lowers returns.

Metric	At \$10.8M asking
Total project cost	\$13.47M (\$420/SF)
Stabilized yield on cost	5.19%
Development spread vs. 6.00% exit cap	-0.81%
Unlevered IRR / multiple	3.6% / 1.18x
Levered IRR / multiple	0.1% / 1.00x
Maximum price for 6.5% yield on cost	\$8.2M (24% below asking)

Property

A 1953 Class C manufacturing building in El Segundo, mostly vacant and on the market since April 13, 2023.

Item	Detail
Address	2051 E Maple Ave, El Segundo, CA 90245
Asking price	\$10,800,000 (\$337/SF)
Building	32,081 SF, 1 story (7,200 SF office, 22%)
Land	1.20 acres (52,272 SF), 61% coverage

Item	Detail
Built / class	1953, Class C
Clear height	14'
Power	1,600 amps
Loading	4 dock-high, 1 grade-level
Parking	34 spaces (1.06 per 1,000 SF), plus east yard
Zoning	M2, light industrial
Status	High vacancy; owner offering short-term leases only
Assessed value	\$10.36M (74% land)
Listing broker	Colliers

Investment thesis and market

The thesis is to buy an outdated building in the South Bay's tightest submarket and renovate it for aerospace, defense, and R&D tenants.

- **Demand is strong.** The South Bay posted its highest quarterly leasing on record in Q2 2026, led by advanced manufacturing users ([KBC Advisors](#)).
- **Defense is the driver.** Aerospace and defense rose from 2% of greater LA industrial leases of 100,000 SF or more (2015–2024) to 11% as of Q2 2026, and the South Bay took 42% of LA leases that quarter (Newmark data via [Bisnow](#)).
- **El Segundo is supply-constrained.** Industrial vacancy there was under 2% at the end of 2025 (JLL data via [Commercial Observer](#)).

The counterpoint: three older buildings within a few blocks, including the subject, sit vacant or partly vacant. Demand favors modern, high-power space. KBC notes that older properties face greater competitive pressure, and South Bay vacancy overall is still 5.8%. Older buildings capture the demand only after a real upgrade, and only at the right basis.

Business plan

Buy vacant, renovate for six months, sign a five-year NNN lease, and sell at stabilization in year five.

Stage	Timing
Close	Month 0
Renovate	Months 1–6
Lease-up	Months 7–12
Lease starts (3 months free rent)	Month 13
Rent starts	Month 16
Sale	Month 60

The owner carries taxes, insurance, and maintenance for the first 12 months. The tenant reimburses them from lease start, including during three months of free rent.

Rent comps

Three NNN asking comps average \$1.98/SF/month, supporting a \$2.00 renovated rent for the subject.

Comp	Submarket / zoning	Space (SF)	Built	Clear	Power (amps)	Asking rent (\$/SF/mo NNN)
1924 E Maple Ave	El Segundo / CO	15,650	1955, renovated 2025	13'	1,600	\$2.30
4928 W Rosecrans Ave (Oceangate)	Hawthorne / M2	21,252	1979	22'	400	\$1.89
1921 E Mariposa Ave	El Segundo / CO	62,081	1963	~16–20' (est.)	2,000	\$1.76
Subject (renovated)	El Segundo / M2	32,081	1953	14'	1,600	\$2.00

The subject sits between the comps in size. Its renovated condition and heavy power offset lower clear height and parking. All three comps are asking rents, not signed leases, and all are currently vacant.

Key assumptions

Rent, renovation cost, and exit cap drive the result; insurance, maintenance, and the loan rate are placeholders to verify.

Assumption	Value	Basis
Renovated rent	\$2.00/SF/mo NNN, +3.5%/yr	Comp average \$1.98
Renovation	\$50/SF + 10% contingency (\$1.76M)	Estimate; verify with contractor bids
Renovation / lease-up	6 + 6 months	Nearby comps vacant
Lease	5 years, 3 months free	Matches comp terms
TI / leasing commissions	\$10/SF / 5% of base rent	Market estimate
Property taxes	1.2% of price (\$129,600/yr)	CA reassessment at sale
Insurance / maintenance	\$0.75 / \$0.75 per SF/yr	Placeholder
Management / reserves	3% of rent / \$0.15/SF/yr	Not reimbursed
Vacancy and credit loss	5%	After lease-up
Loan	55% loan-to-cost, 6.25% interest-only, 1% fee	Placeholder rate
Exit	Month 60, 6.00% cap, 2% selling costs	LA caps mid-5% to 6%; South Bay/Westside average 6.0% (Matthews, Q2 2026)

Sources and uses

Total cost is \$13.55M (\$422/SF), funded 55% by debt.

Uses	Amount	Per SF
Purchase price	\$10,800,000	\$337
Closing costs (2%)	\$216,000	\$7
Renovation incl. contingency	\$1,764,455	\$55
Tenant improvements	\$320,810	\$10
Leasing commissions	\$192,486	\$6
Carry costs while vacant (12 months)	\$177,722	\$6
Loan fee	\$74,093	\$2
Total uses	\$13,545,566	\$422

Sources	Amount	Share
Loan	\$7,409,310	54.7%
Equity	\$6,136,256	45.3%

Peak equity is \$6.72M once interest during renovation and lease-up is included.

Returns at asking price

The deal returns 3.6% unlevered and roughly 0% levered over five years.

Metric	Unlevered	Levered
Profit	\$2.41M	\$0.02M
IRR	3.6%	0.1%
Equity multiple	1.18x	1.00x

Operations and exit	Value
Stabilized NOI (first rent month, annualized)	\$699,462
Year-5 forward NOI	\$803,960
Gross sale price at 6.00% cap	\$13.40M (\$418/SF)
DSCR / debt yield at stabilization	1.51x / 9.4%

Why leverage hurts: the loan costs 6.25%, while the property yields only 5.19% on cost. Every borrowed dollar earns less than it costs, so debt drags the levered return below the unlevered return. The sale price (\$13.40M) also barely clears total cost (\$13.55M), so the exit adds almost no profit.

Sensitivity and pricing

A 12% levered IRR, a typical value-add target, needs about \$9.5M at \$2.30 rents or \$9.0M at \$2.20.

Levered IRR by renovated rent and purchase price

Rent (\$/SF/mo NNN)	\$8.5M	\$9.0M	\$9.5M	\$10.0M	\$10.8M
\$1.80	4.7%	2.4%	0.1%	-2.1%	-5.7%
\$1.90	7.3%	5.1%	2.9%	0.7%	-2.7%
\$2.00	9.8%	7.6%	5.4%	3.3%	0.1%
\$2.10	12.1%	9.9%	7.8%	5.7%	2.6%
\$2.20	14.2%	12.1%	10.0%	8.0%	4.9%
\$2.30	16.2%	14.1%	12.1%	10.1%	7.0%

Maximum price by target yield on cost (all other assumptions held constant)

Rent (\$/SF/mo NNN)	6.0%	6.5%	7.0%
\$2.00	\$9.06M	\$8.20M	\$7.46M
\$2.20	\$10.17M	\$9.22M	\$8.41M
\$2.30	\$10.73M	\$9.74M	\$8.89M

Even at the top comp rent of \$2.30, the asking price yields only 7.0% levered.

Risks

The biggest risks are achieving \$2.00+ rents in an old building and renovation costs running over.

Risk	Impact	Mitigant
Rents below \$2.00	Each \$0.10 cuts levered IRR by about 2.3 points	Buy at a lower basis; confirm with signed lease comps
Renovation overrun (1953 building)	Seismic, asbestos, or roof work raises cost	10% contingency; inspections and bids before closing
Longer lease-up	More months of carry and interest	Target defense and R&D tenants; three nearby comps compete
14' clear height	Excludes most logistics tenants	Market to users valuing power and office space
Low parking (1.06/1,000 SF)	Limits high-headcount tenants	Restripe the east yard for more spaces
Exit cap above 6.00%	Lower sale price	Model assumes mid-range of current market caps
Defense demand slows	Weaker leasing	Diversify tenant pool; South Bay remains supply-constrained

Next steps

If the seller will consider \$8.2–9.5M, these items would firm up the bid:

- ☐ Get contractor bids for the renovation scope, including a seismic assessment
- ☐ Find signed lease comps (CoStar) to confirm \$2.00+ rents
- ☐ Get current lender quotes for rate and loan-to-cost
- ☐ Order a Phase I environmental report
- ☐ Confirm clear height and office share for 1921 E Mariposa Ave

Sources

- Property data: LoopNet listing and Colliers brochure for 2051 E Maple Ave
- Rent comps: LoopNet listings and broker flyers (Kidder Mathews, SCO Advisors, Delphi Business Properties)
- Market: [KBC Advisors Q2 2026](#), [Bisnow](#), [Commercial Observer](#), [Matthews Q2 2026](#)
- Financial model: 2051_E_Maple_Underwriting.xlsx